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Shafiq Umar Daraz & Co.
Chartered Accountants

PASHTANY BANK (PB)

Audited Financial Statements

For the year ended December 21, 2025

(30 Qaws 1404)

UHY Shafiq Umar Daraz & Co. Chartered Accountants
Office # B-32. 2nd floor, Muslim Business Centre,
Char-e-Haji Yaqoob, Shahr-e-Naw,
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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF PASHTANY BANK

Opinion

We have audited the accompanying financial statements of Pashtany Bank (the Bank), which comprise the statement of financial position as of December 21, 2025, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Bank as of December 21, 2025, and its financial performance and its cash flows for the year then ended, in accordance with International Financial Reporting Standards (IFRSs), the Law of Banking in Afghanistan and other laws and regulations issued by Da Afghanistan Bank.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Bank in accordance with the International Ethics Standards Board of Accountants' *Code of Ethics of Professional Accountants* (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Afghanistan, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

We draw attention to Note 7.1 to the financial statements, which discloses that an income earning deposit held with Citibank UAE is subject no debit restrictions. Our opinion is not qualified in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, the requirements of the Law of Banking in Afghanistan and other laws and regulations issued by Da Afghanistan Bank, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so. UHY.

Those Charged with Governance are responsible for overseeing the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

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We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

The engagement partner on the audit resulting in this independent auditor's report is Muhammad Shafiq, FCA.

UHY Shafiq Umar Daraz & Co
Chartered Accountants

Date: 16 March 2026
Kabul, Afghanistan



PASHTANY BANK
STATEMENT OF FINANCIAL POSITION
AS AT 30 QAWS 1404 (DECEMBER 21, 2025)

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		---------- AFN ----------	
Assets			
Cash and cash equivalents	5	**17,929,668,032**	18,345,295,523
Financing to customers - net	6	**68,358,772**	3,225,584
Investments and placements	7	**3,920,076,086**	3,647,519,625
Investment in other governmental entities	8	**105,752,502**	105,752,502
Property and equipment	9	**1,328,559,938**	1,333,185,196
Intangible assets	10	**35,848,457**	34,384,117
Investment properties	11	**1,996,001,390**	1,996,001,390
Deferred tax asset - net	12	**-**	60,530,585
Other assets	13	**2,756,692,627**	2,684,739,141
Total assets		**28,140,957,804**	28,210,633,663
Equity and liabilities			
Equity			
Share capital	14	**3,820,257,000**	3,820,257,000
Accumulated losses		**(586,161,550)**	(1,266,680,008)
Surplus on revaluation of assets - net of tax	15	**768,689,566**	832,753,066
Total equity		**4,002,785,016**	3,386,330,058
Liabilities			
Deposits from banks and other financial institutions	16	**41,365,256**	41,423,171
Deposits from customers	17	**23,843,990,784**	24,464,608,165
Deferred grant	18	**21,355,601**	27,189,580
Deferred tax liability - net	12	**26,896,827**	-
Other liabilities	19	**204,564,320**	291,082,689
Total liabilities		**24,138,172,788**	24,824,303,605
Total equity and liabilities		**28,140,957,804**	28,210,633,663
Contingencies and commitments	20		

The annexed notes from 1 to 31 form an integral part of the financial statements.

Chairman | **Chief Executive Officer** | **Chief Finance Officer**

PASHTANY BANK
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 QAWS 1404 (DECEMBER 21, 2025)

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		AFN	
Income from financial assets		**108,050,645**	122,724,827
Cost of funds		**-**	-
Net financing income	21	**108,050,645**	122,724,827
Service fee and commission income		**191,393,374**	176,126,790
Service fee and commission expense		**(493,455)**	(985,092)
Net service fee and commission income	22	**190,899,919**	175,141,698
Total operating income		**298,950,564**	297,866,525
Other income	23	**768,800,308**	92,859,148
Amortization of deferred grant	18	**5,833,979**	5,801,657
Impairment on financings to customers		**2,705,596**	(4,636,947)
Employee compensation	24	**(184,166,544)**	(162,250,785)
Depreciation on property and equipment		**(49,068,992)**	(31,224,935)
Depreciation on right of use asset		**(10,845,621)**	(11,285,209)
Amortization on intangible assets		**(7,511,796)**	(6,516,658)
Finance cost on lease liabilities		**(683,121)**	(911,606)
Other operating expenses	25	**(132,873,520)**	(105,404,009)
Exchange gain / (loss)		**12,741,518**	89,091,088
Profit before income tax		**703,882,370**	163,388,269
Taxation	26	**(41,356,262)**	3,598,470
Profit for the year		**662,526,108**	166,986,739
Other comprehensive income:			
Adjustment of deferred tax liability relating to surplus on revaluation		**(49,669,620)**	-
Total comprehensive income for the year		**612,856,488**	166,986,739

The annexed notes from 1 to 31 form an integral part of the financial statements.

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Chairman | **Chief Executive Officer** | Chief Finance Officer

PASHTANY BANK
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 QAWS 1404 (DECEMBER 21, 2025)

	Share capital	Accumulated losses	Surplus on revaluation - net	Total
	---------- AFN ----------			
Balance as at December 22, 2023	3,820,257,000	(1,448,060,627)	847,146,946	3,219,343,319
Incremental depreciation - net of deferred tax	-	14,393,880	(14,393,880)	-
Profit for the year	-	166,986,739	-	166,986,739
Other comprehensive income	-	-	-	-
	-	181,380,619	(14,393,880)	166,986,739
Balance as at December 19, 2024	3,820,257,000	(1,266,680,008)	832,753,066	3,386,330,058
Balance as at December 20, 2024	**3,820,257,000**	**(1,266,680,008)**	**832,753,066**	**3,386,330,058**
Profit for the year	-	**662,526,108**	-	**662,526,108**
Incremental depreciation - net of deferred tax	-	**17,992,350**	**(14,393,880)**	**3,598,470**
Other comprehensive income:				
Adjustment of deferred tax liability relating to surplus on revaluation	-	-	**(49,669,620)**	**(49,669,620)**
	-	**680,518,458**	**(64,063,500)**	**616,454,958**
Balance as at December 21, 2025	**3,820,257,000**	**(586,161,550)**	**768,689,566**	**4,002,785,016**

The annexed notes from 1 to 31 form an integral part of the financial statements.

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Chairman | **Chief Executive Officer** | **Chief Financial Officer**

PASHTANY BANK
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 QAWS 1404 (DECEMBER 21, 2025)

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		---------- AFN ----------	
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before income tax		**703,882,370**	163,388,269
Adjustments for:			
Depreciation on property and equipment	9.1	**49,269,038**	31,224,935
Depreciation on right of use asset	9.2	**10,845,621**	11,285,209
Amortization on intangible assets	10	**7,511,796**	6,516,658
Gain / loss on disposal of property and equipment		**-**	(1,159)
Finance cost on lease liability	19.2	**683,121**	911,606
Amortization of deferred grant	18	**(5,833,979)**	(5,801,657)
Other income - liability written back	23	**(5,021,311)**	(20,931,098)
Impairment on financings to customers		**(2,705,596)**	4,636,947
		758,631,060	191,229,710
Increase/(decrease) in:			
Other assets		**(71,953,486)**	(334,864,023)
Financing to customers		**(62,427,592)**	6,815,462
Deposits from banks and other financial institutions		**(57,915)**	(909,654)
Deposits from customers		**(620,617,381)**	4,682,770,143
Other liabilities		**(78,247,986)**	71,830,225
		(74,673,300)	4,616,871,863
Tax paid		**(200,046)**	-
Net cash used in operating activities		**(74,873,346)**	4,616,871,863
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of property and equipment		**(54,537,149)**	(81,534,130)
Acquisition of intangible assets		**(8,976,136)**	(2,574,000)
Acquisition of investment properties		**-**	(838,535)
Investments		**(272,556,461)**	(211,923,879)
Proceeds from sale of property and equipment		**-**	1,075
Net cash used in investing activities		**(336,069,746)**	(296,869,469)
CASH FLOWS FROM FINANCING ACTIVITIES			
Payment of finance lease liability		**(4,684,399)**	(9,847,402)
Net cash used in financing activities		**(4,684,399)**	(9,847,402)
Net (decrease) / increase in cash and cash equivalents		**(415,627,491)**	4,310,154,992
Cash and cash equivalents at beginning of the year		**18,345,295,523**	14,035,140,531
Cash and cash equivalents at the end of the year	5	**17,929,668,032**	18,345,295,523

The annexed notes from 1 to 31 form an integral part of the financial statements.

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Chairman | **Chief Executive Officer** | **Chief Finance Officer**

1 STATUS AND NATURE OF BUSINESS

1.1 Pashtany Bank ("the Bank") got registered with Afghanistan Investment Support Agency (AISA) on June 26, 2004 current;y with Ministry of Industry and Commerce on 25 August 2025 as a limited liability company and received formal commercial bank license from Da Afghanistan Bank (DAB) to operate nationwide at the same date. The principal business place of the Bank is at Muhammad Jan Khan Watt, Kabul, Afghanistan with 32 branches and 10 counter (2024: 26 branches and 9 counters) nationwide.

The financial statements for the year ended December 21, 2025 have been approved and authorized for issue by the Board of Supervisors on 16 March 2026.

2 STATEMENT OF COMPLIANCE

2.1 These financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) issued by the International Accounting Standard Board except IFRS 9 which has not been adopted, the Law of Banking in Afghanistan and other laws and regulations issued by Da Afghanistan Bank. However, Whenever the requirement of the Law of Banking in Afghanistan differs with the requirements of the IFRS, the requirement of the Law of Banking in Afghanistan and other laws and regulations issued by Da Afghanistan Bank take precedence.

These financial statements comprise statement of financial position, statement of comprehensive income as a single statement, statement of changes in equity, statement of cash flows and the accompanying notes.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Bank's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 3.2.

2.2 APPLICATION OF NEW STANDARDS, AMENDMENTS AND INTERPRETATIONS TO PUBLISHED APPROVED ACCOUNTING AND REPORTING STANDARDS

New accounting standards, amendments and interpretations that are not yet effective

The following standards, amendments and interpretations are only effective for accounting periods, beginning on or after the date mentioned against each of them. These standards, amendments and interpretations are either not relevant to the Bank's operations or are not expected to have significant impact on the Bank's financial statements other than certain additional disclosures.

Note 2.2 (Continued)

Standard and amendments	Effective date (annual periods beginning on or after)
IFRS 17 Insurance Contracts (including the June 2020 and December 2021 Amendments to IFRS 17)	January 01, 2026
Annual Improvements to IFRS Accounting Standards - Volume 11	January 01, 2026
Amendments to the Classification and Measurement of Financial Instruments - Amendments to IFRS 9 and IFRS 7	January 01, 2026
IFRS 19 Subsidiaries without Public Accountability: Disclosures	January 01, 2027
IFRS 19 Subsidiaries without Public Accountability: Disclosures - Basis for Conclusions	January 01, 2027
IFRS 18 Presentation and Disclosure in Financial Statements - Basis for Conclusions	January 01, 2027
IFRS 18 Presentation and Disclosure in Financial Statements	January 01, 2027
IFRS 18 Presentation and Disclosure in Financial Statements - Illustrative Examples	January 01, 2027

3 BASIS OF PREPARATION

3.1 Basis of measurement

These financial statements have been prepared under the historical cost convention except that property and equipment which are stated at revaluated amounts, and investment properties which are stated at fair value.

3.2 Use of critical accounting estimates and judgments

The preparation of financial statements in conformity with International Financial Reporting Standards (IFRS) requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

In particular, information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements are described in the following:

a)	Note 19	Period of the lease liabilities
b)	Note 27	Income taxes
c)	Note 9	Useful life of property and equipment

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3.3 Functional and presentation currency

These financial statements are presented in Afghani (AFN), which is the Bank's functional currency.

4 MATERIAL ACCOUNTING POLICY INFORMATION

The material accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented unless or otherwise stated.

4.1 Cash and cash equivalents

For the purposes of cash flow statement, cash and cash equivalents comprise of cash and balances with central bank (unrestricted), balances with other banks and investments having maturity of less than 3 months.

4.2 Financial instruments

Recognition, initial measurement and de-recognition

Financial assets and financial liabilities are recognized when the Bank becomes a party to the contractual provisions of the financial instrument and are measured initially at fair value adjusted by transactions costs, except for those carried at fair value through profit or loss which are measured initially at fair value with expensing out transaction cost. Subsequent measurement of financial assets and financial liabilities are described below.

Financial assets are de-recognized when the contractual rights to the cash flows from the financial asset expire, or when the financial asset and all substantial risks and rewards are transferred. A financial liability is de-recognized when it is extinguished, discharged, cancelled or expires.

Classification and subsequent measurement of financial assets and financial liabilities

For the purpose of subsequent measurement, financial assets other than those designated and effective as hedging instruments are classified into the following categories upon initial recognition:

1. Designated at Fair Value Through Profit or Loss (FVTPL)
2. Held for trading
3. Loans and receivables
4. Held to maturity
5. Available for sale

All financial assets are subject to review for impairment at least at each reporting date except for held for trading and designated at FVTPL to identify whether there is any objective evidence that a financial asset or a group of financial assets is impaired.

Note 4.2 (Continued)

a) Classification, recognition and subsequent measurement of financial assets

Financing to customers and receivables are non-derivative financial assets with determinable payments that are not quoted in an active market. After initial recognition, these are measured at amortized cost using the effective rate of return, less provision for impairment. The Bank's cash and cash equivalents, investments (other than held for trading) and other assets fall into this category of financial instruments.

The Bank determines allowance for impairment in accordance with regulation issued by DAB "Asset Classifications and Provisioning Regulation" issued December 2017.

At each reporting date, the Bank assesses whether there is objective evidence that financial assets which are not carried at fair value through profit or loss are impaired or not. Financial assets or a group of financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the assets, and that the loss event has an impact on the future cash flows on the assets that can be estimated reliably.

The Bank considers evidence of impairment for impairment for financial assets at both a specific asset and collective level. All individually significant financial assets are assessed for specific impairment. All significant assets found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together financial assets (carried at amortized cost) with similar risk characteristics.

Impairment losses on Islamic financing and other assets carried at amortized cost are measured as the difference between their carrying amount and the present value of estimated future cash flows discounted at the asset's original profit rate, where applicable. Such losses are recognized in the statement of profit or loss and recorded through an allowance account against the relevant assets. When a subsequent event causes the amount of the impairment loss to decrease, the impairment loss is reversed through the statement of comprehensive income. The Bank writes off certain financing assets when they are determined to be uncollectible.

b) Classification and subsequent measurement of financial liabilities

Financial liabilities are subsequently measured at amortized cost using the effective yield method, except for financial liabilities designated at fair value through profit or loss, which are subsequently carried at fair value, with gains or losses recognized in the statement of comprehensive income. Any Shariah-compliant hedging or similar financial instruments, where applicable, are accounted for in accordance with their applicable measurement basis and the relevant financial reporting requirements.

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Note 4.2 (Continued)

c) Financial liabilities

The Bank classifies its financial liabilities in following categories.

i) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss are financial liabilities held for trading. A financial liability is classified in this category if incurred principally for the purpose of trading or payment in the short term. Derivatives (if any) are also categorized as held for trading unless they are designated as hedges.

ii) Other financial liabilities measured at amortized cost

These are non-derivatives financial liabilities with fixed or determinable payments that are not quoted in an active market. These are recognized initially at fair value, net of transaction costs incurred and are subsequently stated at amortized cost; any differences between the proceeds (net of transaction costs) and the redemption value is recognized in the income statement.

4.3 Investment in equity instruments

Investment in equity instruments is carried at cost less impairment, if any.

4.4 Property and equipment

Property and equipment are stated at cost or revalued amounts less accumulated depreciation and accumulated impairment losses thereon. Cost includes expenditure that is directly attributable to the acquisition of fixed assets.

Repairs and maintenance expenditures are charged to profit or loss during the period in which they are incurred.

Surplus arising on revaluation is credited to the 'revaluation reserve' account (net of deferred tax) whereas deficit (if any) is adjusted against the balance in the above-mentioned surplus account. The revaluation is carried out with sufficient regularity to ensure that the carrying amount does not differ materially form that which would have been determined using fair value at the balance sheet date. Surplus on revaluation of fixed assets (net of deferred tax) is transferred to retained earnings to the extent of incremental depreciation, net of deferred tax, charged on related assets.

Land is not depreciated. Depreciation on all other fixed assets is calculated using the straight-line method to allocate their depreciable cost or revalued amount to their residual values over their estimated useful lives. The depreciation method, residual values and useful lives of fixed assets are reviewed and adjusted (if appropriate) at each balance sheet date.

Net gains and losses on disposal or derecognition of fixed assets are included in profit or loss currently.

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Note 4.4 (Continued)

Depreciation

Depreciation is recognized in profit or loss on straight-line basis from the month of use over the estimated useful lives of property and equipment since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful lives for the current and comparative periods are as follows:

Building	30-50 years
Furniture and fixture	10 years
Computer equipment	10 years
Vehicles	5 years
Electric equipment	6-7 years

4.5 Investment property

Investment properties are those properties which are held to earn Ijara income or for capital appreciation or for both. Investment properties are stated at fair values. Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair values of investment properties are included in profit or loss in the period in which they arise, including the corresponding tax effect. Fair values are determined by an accredited external independent valuer applying a valuation model when the valuation is approved by the Da Afghanistan Bank.

Investment properties are derecognized either when they have been disposed of or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognized in profit or loss in the period of derecognition.

Transfers are made to (or from) investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of change in use.

Any gain or loss arising from a change in fair value is recognized in profit or loss. Ijara income from investment property is accounted for on straight line basis over the term of the lease. Lease incentives granted are recognized as an integral part of the total rental income, over the term of the lease.

When the use of a property changes such that it is reclassified as property and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

4.6 Intangible assets

Intangible assets are capitalized only to the extent that the future economic benefits can be derived by the Bank having useful life of more than one year. Intangible assets are stated at cost less accumulated amortization. Amortization is charged to income applying the straight-line method.

a) Core Banking System (CBS)
b) Computer software

Acquired computer software is capitalized on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized over their estimated useful life of 3-10 years.

The useful lives of intangibles are reviewed and adjusted, if appropriate, at each statement of financial position date.

4.7 Repossessed assets

Collateral repossessed by the Bank upon loan default is included in the repossessed assets at the date when the title is transferred to the Bank through court process. Repossessed assets are recognized at an amount established by the court (final Mazhar value) together with costs for acquiring the title including legal fees and transfer costs etc. and equivalent amount is recorded as deferred income in the statement of financial position.

The Bank is required to sell these assets within a period of four years failing which the Bank derecognizes these assets from its books and the related deferred income. Gain or loss on disposal of repossessed assets is recognized in profit or loss.

4.8 Impairment of non-financial assets

The carrying amounts of the Bank's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

4.9 Deposits from customers and banks

These are recorded at the amount of proceeds received.

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4.10 Taxation

Income tax expense comprises of current and deferred tax. Income tax expense is recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in other comprehensive income.

Current tax

Current tax is the expected tax payable or receivable on the taxable income for the year (using tax rates enacted or substantively enacted at the balance sheet date), and any adjustment to tax payable in respect of previous years.

Deferred tax

Deferred tax is provided for using the balance sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognized on temporary differences relating to: (i) the initial recognition of goodwill; (ii) the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit; and (iii) differences relating to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

4.11 Defined benefits pension plan

Government of Afghanistan, with the special decree vide 4802 dated 21/09/1445 has halted the charge and payment of the pension. Subsequently based on the decree vide 4802 date 21/09/1445 all those who want to receive their pension right should go through the special court to be established for the same reason.

4.12 Employee compensation

Short-term employee benefits are measured on an undiscounted basis and are expensed as the related service is provided.

4.13 Foreign currency transactions

Transactions in foreign currencies are translated to Afghani at exchange rates prevailing at the date of transaction.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to Afghani at the exchange rate prevailing at that reporting date. Foreign currency differences arising on retranslation are recognized in profit or loss.

Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of transaction.

4.14 Income from financing, investments and related funding costs

Profit earned on investments is recognized in profit or loss using the effective yield method. Any gain or loss arising on the sale of investments is recognized in profit or loss in the period in which it arises.

The effective yield method is a method of calculating the amortized cost of a financial asset or a financial liability and of allocating the related profit income or financing cost over the relevant period. The effective yield rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument, or where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

When calculating the effective yield rate, the Bank estimates cash flows by considering all contractual terms of the relevant financial instrument, without taking into account future credit losses. The calculation includes fees paid or received between the contracting parties that form an integral part of the effective yield rate, together with transaction costs and any premiums or discounts.

4.15 Service fee and commission

Service fees and commission income include account servicing fees and commissions on transactions and are recognized as the related services are performed.

Service fees and commission expense relate mainly to transaction and service fees, which are expensed as the services are received.

4.16 Provisions

Provisions for restructuring costs and legal claims are recognized when:

a) the Bank has a present legal or constructive obligation as a result of past events;
b) it is more likely than not that an outflow of resources will be required to settle the obligation; and
c) The amount has been reliably estimated.

Provision for guarantee claims and other off-balance sheet obligations is recognized when intimated and reasonable certainty exists to settle the obligations.

4.17 Right of-use assets

On initial recognition, right-of-use assets are measured at an amount equal to initial lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to be incurred to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located.

Right-of-use assets are subsequently stated at cost less any accumulated depreciation /accumulated impairment losses and are adjusted for any remeasurement of lease liability. The remeasurement of lease liability will only occur in cases where the terms of the lease are changed during the lease tenor. Right-of-use assets are depreciated over their expected useful lives using the straight-line method.

Depreciation on additions (new leases) is charged from the month in which the leases are entered into. No depreciation is charged after the leases are matured or terminated.

Lease liability against right-of-use assets

Lease liabilities are initially measured at the present value of the remaining lease payments, discounted using the rate implicit in the lease or, where that rate cannot be readily determined, the Bank's incremental financing rate in Afghanistan.

The lease liability is subsequently measured at amortised cost using the effective yield method. The lease liability is also remeasured to reflect any reassessment or change in lease terms. Such remeasurements of lease liabilities are recognised as adjustments to the carrying amount of the related right-of-use assets after the date of initial recognition.

Each lease payment is allocated between a reduction of the lease liability and the related financing cost. The financing cost is charged to the profit and loss account over the lease period so as to produce a constant periodic rate of return on the remaining balance of the lease liability for each period.

4.18 Contingencies and commitments

A contingent liability is disclosed when the bank has a possible obligation as a result of past events, existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the bank or the bank has a present legal or constructive obligation that arises from past events, but it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability.

4.19 Off-setting

Financial assets and liabilities are set off and the net amount presented in the statement of financial position when, and only when, the Bank has a legal right to set off the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
5 CASH AND CASH EQUIVALENTS		AFN	
Cash in hand	5.1	**1,659,895,124**	1,787,798,826
Cash in ATM	5.2	**30,350,896**	21,540,188
Balances with Da Afghanistan Bank	5.3	**15,547,267,935**	15,986,208,049
Balances with other banks	5.4	**692,154,077**	549,748,460
		17,929,668,032	18,345,295,523
5.1 Cash in hand			
Local currency		**797,466,124**	593,423,752
Foreign currency		**862,429,000**	1,194,375,074
		1,659,895,124	1,787,798,826
5.2 Cash in ATM			
Local currency		**30,138,800**	21,058,000
Foreign currency		**212,096**	482,188
		30,350,896	21,540,188
5.3 Balances with Da Afghanistan Bank			
Local currency - current accounts		**14,700,405,234**	15,530,224,010
Foreign currency - current accounts	5.3.1	**846,862,701**	455,969,543
Overnight deposit		**-**	14,496
		15,547,267,935	15,986,208,049

5.3.1 This includes USD 29,987 equivalent to AFN 1.987 million in clearing account with DAB. DAB has imposed no debit restriction on this balance and suggested management to communicate with Ministry of Finance (MoF). Management is in communication with MoF to recover this balance.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
5.4 Balances with other banks		AFN	
Local currency - current accounts:			
Bank Millie Afghan		**40,000,410**	40,224,155
Maiwand Bank		**360,134**	2,078,387
Ghazanfar Bank		**200,000,100**	5,395,562
		240,360,644	47,698,104
Foreign currency - current accounts:			
Bank Millie Afghan		**14,240**	5,267,725
Ghazanfar Bank		**331,463,912**	-
Maiwand Bank		**1,600,275**	-
Azizi Bank		**711,504**	19,171,002
Aktif Bank, Turkey		**13,151,459**	5,953,172
Zhejiang Chouzhou China		**97,796,189**	465,434,715
Nurol Bank, Turkey		**7,055,854**	6,223,741
		451,793,433	502,050,355
	5.4.1	**692,154,077**	549,748,460

5.4.1 These represent balances available on demand that do not earn profit.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		AFN	
6 FINANCING TO CUSTOMERS - Net			
Gross financing		**70,290,123**	7,862,531
Allowances for impairment losses		**(1,931,351)**	(4,636,947)
Carrying value	6.1	**68,358,772**	3,225,584

6.1 These include murabaha facilities designed for PB's employees and government permanent employees who maintain a salaried bank account with PB and have a service period of over 1 year. These loans offer an effective profit rate range from 4% to 8%.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		AFN	
7 INVESTMENT AND PLACEMENTS			
Aktif Bank, Turkey		**172,328,000**	184,366,000
Citi Bank, UAE	7.1	**2,482,606,872**	2,593,066,059
First Abu Dhabi Bank		**762,671,214**	766,044,066
Nurol Bank, Turkey		**102,470,000**	104,043,500
Ghazanfar Bank		**400,000,000**	-
	7.2	**3,920,076,086**	3,647,519,625

7.1 The bank has invested in Money Market Time Deposit (MMTD) in Citibank UAE. Due to international sanctions on the country, Citibank has imposed no debit restriction on this balance.

7.2 These placements are in AFN and USD currencies with a maturity up to 364 days and carry markup rate ranging from 1% to 4.22% (2024:2.50% to 5.56%) per annum.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		AFN	
8 INVESTMENT IN OTHER GOVERNMENTAL ENTITIES			
Shirkat Nasaji Afghan		**83,518,400**	83,518,400
Bank-e-Millie Afghan		**11,340,000**	11,340,000
Afghan National Insurance Company		**7,660,000**	7,660,000
Afghan Cart Corporation		**2,822,884**	2,822,884
Shirkat-e-Aryana Afghan Airline		**281,241**	281,241
Pakht-e-Herat		**65,542**	65,542
Hotel Intercontinental		**64,435**	64,435
	8.1&8.2	**105,752,502**	105,752,502

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		AFN	

8.1 The shareholding in these entities held by the Bank is as below:

Shirkat Nasaji Afghan	**0.35%**	0.35%
Bank-e-Millie Afghan	**1.13%**	1.13%
Afghan National Insurance Company	**7.66%**	7.66%
Afghan Cart Corporation	**1.47%**	1.47%
Shirkat-e-Aryana Afghan Airline	**6.25%**	6.25%
Pakht-e-Herat	**0.05%**	0.05%
Hotel Intercontinental	**6.44%**	6.44%

8.2 Management previously regarded these governmental entities as "Associates" as defined under IAS 28, "Investments in Associates and Joint Ventures". Associate defined by IAS 28 is an entity over which an investor has significant influence, being the power to participate in the financial and operating policy decisions of the investee (but not control or joint control).

The above standards further states that a holding of 20% or more of the voting power (directly or through subsidiaries) will indicate significant influence unless it can be clearly demonstrated otherwise. If the holding is less than 20%, the investor will be presumed not to have significant influence unless such influence can be clearly demonstrated.

Since the share held by the Bank in these entities is below 20% threshold provided in IAS 28, significant judgement is required to designate these entities as associates. Previously, management considered their participation in the board meetings as a key indicator to designate these entities as associates. However, following a reassessment in 2021, management concluded that such participation was not substantive enough to demonstrate significant influence. As a result, these investments have been designated as financial instruments under IFRS 9, "Financial Instruments", and are carried at cost, as their fair value cannot be reliably measured.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		AFN	
9 PROPERTY AND EQUIPMENT			
Operating fixed assets	9.1	**1,310,973,635**	1,305,581,228
Right of use assets - buildings	9.2	**17,586,303**	27,603,968
		1,328,559,938	1,333,185,196

9.1 Operating fixed assets

	Land	Building	Electric equipment	IT equipment	Furniture and fittings	Computers	Motor vehicles	Total
	AFN							
Gross carrying value								
Balance at December 21, 2023	597,994,989	868,359,975	41,033,589	68,213,742	23,434,304	19,336,938	12,227,692	1,630,601,229
Additions	106,350	1,395,811	13,445,472	27,743,981	1,815,543	5,988,540	4,604,375	55,100,072
Disposals / adjustments	-	-	-	-	(6,900)	-	-	(6,900)
Balance at December 19, 2024	598,101,339	869,755,786	54,479,061	95,957,723	25,242,947	25,325,478	16,832,067	1,685,694,401
Balance at December 19, 2024	**598,101,339**	**869,755,786**	**54,479,061**	**95,957,723**	**25,242,947**	**25,325,478**	**16,832,067**	**1,685,694,401**
Additions	-	**544,339**	**13,230,902**	**12,406,192**	**4,182,003**	**16,419,955**	**7,753,758**	**54,537,149**
Adjustment	**(75,750)**	-	-	-	-	-	-	**(75,750)**
Balance at December 21, 2025	**598,025,589**	**870,300,125**	**67,709,963**	**108,363,915**	**29,424,950**	**41,745,433**	**24,585,825**	**1,740,155,800**
Accumulated Depreciation								
Balance at December 21, 2023	-	199,492,262	39,055,210	59,289,752	21,066,365	17,763,950	12,227,684	348,895,223
Charge for the year	-	20,332,992	2,185,526	6,134,000	712,893	1,856,327	3,197	31,224,935
Disposals / adjustments	-		-	(86)	(6,899)	-	-	(6,985)
Balance at December 19, 2024	-	219,825,254	41,240,736	65,423,666	21,772,359	19,620,277	12,230,881	380,113,173
Balance at December 19, 2024	-	**219,825,254**	**41,240,736**	**65,423,666**	**21,772,359**	**19,620,277**	**12,230,881**	**380,113,173**
Charge for the year	-	**22,213,878**	**6,049,285**	**13,649,461**	**1,181,736**	**3,704,788**	**2,269,844**	**49,068,992**
Balance at December 21, 2025	-	**242,039,132**	**47,290,021**	**79,073,127**	**22,954,095**	**23,325,065**	**14,500,725**	**429,182,165**
Carrying amounts								
Balance at December 19, 2024	598,101,339	649,930,532	13,238,325	30,534,057	3,470,588	5,705,201	4,601,186	1,305,581,228
Balance at December 21, 2025	**598,025,589**	**628,260,993**	**20,419,942**	**29,290,788**	**6,470,855**	**18,420,368**	**10,085,100**	**1,310,973,635**

		Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
9.2	**Right of use assets - buildings**		---------- AFN ----------	
	Gross carrying value			
	Opening balance		**59,005,154**	32,571,096
	Additions during the year		**-**	26,434,058
	Lease modifications		**827,956**	-
	Closing balance		**59,833,110**	59,005,154
	Accumulated depreciation			
	Opening balance		**31,401,186**	20,115,977
	Reversal due to lease modifications		**-**	-
	Charge for the year		**10,845,621**	11,285,209
	Closing balance		**42,246,807**	31,401,186
	Net carrying value		**17,586,303**	27,603,968
10	**INTANGIBLE ASSETS**			
	Cost			
	Opening balance		**66,577,541**	64,003,541
	Additions during the year		**8,976,136**	2,574,000
	Closing balance	10.1	**75,553,677**	66,577,541
	Accumulated amortization			
	Opening balance		**32,193,424**	25,676,766
	Charge for the year		**7,511,796**	6,516,658
	Closing balance		**39,705,220**	32,193,424
	Written down value		**35,848,457**	34,384,117

10.1 Intangible assets include cost amounting to AFN 58,178,178 for licenses acquired for Core Banking System (Oracle) as a part of the IT infrastructure development financed by the World Bank project to modernize Afghan State-Owned Banks. The amortization rate of intangible assets determined is 10% p.a. Moreover, new licenses of Sophos and other softwares were aquired. Amortization rate of intangible assets determined is 33.33% p.a.

		Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
11	**INVESTMENT PROPERTIES**		---------- AFN ----------	
	Land		**1,112,071,926**	1,112,071,926
	Buildings		**883,929,464**	883,929,464
			1,996,001,390	1,996,001,390

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11.1 Province-wise details of investment properties:

Kabul			
Timorshahi Building		**851,199,530**	851,199,530
Abida Maiwand		**360,906,305**	360,906,305
Saraji land & Building		**248,720,092**	248,720,092
Andarabi market 1 & 2		**179,105,877**	179,105,877
Gul Bahar Center	11.1	**120,430,912**	120,430,912
Baghban Koja Building 1		**92,174,120**	92,174,120
		1,852,536,836	1,852,536,836
Herat			
Karwan Sarai land		**117,833,610**	117,833,610
Torghondi land		**3,413,750**	3,413,750
		121,247,360	121,247,360
Nangarhar			
Nangarhar land		**18,031,658**	18,031,658
		18,031,658	18,031,658
Samangan			
Ibak Samangan land		**3,693,120**	3,693,120
		3,693,120	3,693,120
Faryab			
Andkhoy land		**492,416**	492,416
		492,416	492,416
		1,996,001,390	1,996,001,390

11.1 50% of the building is occupied by the Bank for its operations, and rest is held for Operational Ijara purposes. The amount under use of the Bank has been classified as property and equipment.

11.2 The Bank hired independent property valuers, Masood Sahak Consultancy, through open competitive bidding to carry out the valuation of investment properties held by the Bank. The property valuers presented their reports to the Bank on November 20, 2020, however, DAB approved the valuation of investment properties on February 13, 2022.

Fair value of these properties was determined with reference to market values based on comparable market transactions of identical or similar assets adjusted for location or condition of the specific asset. Comparable market transactions data was collected through various property dealers and real estate agents. In case of valuation of buildings, additional factors were considered including type of construction, quality of construction materials used, location and type of neighborhood. Key valuation input for land and buildings was market rate per square meter. Based on the method used for determination of fair value, it qualifies under Level 2 hierarchy as per IFRS 13,"Fair Value Measurement".

		Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
12	**DEFERRED TAX ASSET / (LIABILITY) - net**		---------- AFN ----------	
	Carried forward tax losses	12.1	**165,275,569**	206,631,831
	Surplus on revaluation	12.2	**(192,172,396)**	(146,101,246)
			(26,896,827)	60,530,585

12.1 The movement in carried forward tax losses is as follows:

Opening balance	**206,631,831**	206,631,831
Effect of profit for the year	**(41,356,262)**	-
Closing balance	**165,275,569**	206,631,831

12.2 The movement in deferred tax on surplus on revaluation is as follows:

Opening balance	**146,101,246**	149,699,716
Adjustment of deferred tax liability relating to surplus on revaluation	**49,669,620**	-
Deferred tax on incremental depreciation	**(3,598,470)**	(3,598,470)
Closing balance	**192,172,396**	146,101,246

13 OTHER ASSETS

Required reserves with Da Afghanistan Bank	13.1	**2,100,866,900**	2,042,979,987
Advance tax	13.2	**510,848,671**	510,648,625
Advances to employees		**13,905,472**	13,974,478
Advances to suppliers		**1,533,651**	2,034,039
Accrued profit on time deposits and financings		**37,555,313**	42,775,645
Security deposit		**4,451,800**	4,674,600
Receivable from financial institution	13.3	**13,284,598**	14,683,600
Receivable from sale of collateral		**921,292**	-
Receivable from Western Union		**74,002,045**	59,343,957
Others		**12,607,483**	8,307,810
		2,769,977,225	2,699,422,741
Provision against receivable from Financial Institution	13.4	**(13,284,598)**	(14,683,600)
Net carrying amount		**2,756,692,627**	2,684,739,141

13.1 This represents statutory reserve maintained with DAB as minimum reserve in accordance with Banking Regulations issued by Da Afghanistan Bank. These minimum reserves carry no profit.

Note 13.1 (continued)

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
Currency profile of required reserve with DAB		---------- AFN ----------	
Local currency		**1,431,386,289**	1,334,199,210
Foreign currencies		**669,480,611**	708,780,777
		2,100,866,900	2,042,979,987

13.2 This represents the amounts withheld by Da Afghanistan Bank from income of the Bank from various sources including capital notes, overnight deposits and required reserves during years from 2008 to 2021.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
13.3 RECEIVABLE FROM FINANCIAL INSTITUTION		---------- AFN ----------	
Opening for the year		**14,683,600**	14,351,634
Exchange gain / (loss) on translation		**(1,399,002)**	331,966
Closing for the year	13.3.1	**13,284,598**	14,683,600

13.3.1 This represents a matured time deposit held with UBL Peshawar branch, which could not be recovered despite numerous reminders and follow-up efforts by the Bank. In their 2019 review report, the Inspection team of DAB recommended that this amount be written off. Accordingly, a full provision has been made against this balance, as disclosed in note 13.4 to the financial statements.

	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
13.4 PROVISION AGAINST RECEIVABLE FROM FINANCIAL INSTITUTION	---------- AFN ----------	
Opening for the year	**14,683,600**	14,351,634
Exchange gain / (loss) on translation	**(1,399,002)**	331,966
Closing for the year	**13,284,598**	14,683,600

14 SHARE CAPITAL

14.1 Authorized share capital

3,820,257 (2024: 3,820,257) ordinary shares of AFN 1,000 each		**3,820,257,000**	3,820,257,000

14.2 Issued, subscribed and paid-up

3,820,257 (2024: 3,820,257) ordinary shares of AFN 1,000 each	**14.3**	**3,820,257,000**	3,820,257,000

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	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		AFN	

14.3 The issued shares are subscribed by the following parties:

Ministry of Finance	**2,584,800,000**	2,584,800,000
Bank-e- Millie Afghan	**1,098,982,000**	1,098,982,000
Afghan Red Crescent Society	**20,050,000**	20,050,000
Health Insurance	**1,200,000**	1,200,000
Spinzar Corporation	**725,000**	725,000
Ministry of Labor and Social Affairs	**91,600,000**	91,600,000
Chamber of Commerce	**11,450,000**	11,450,000
Saderaat Kashmesh	**3,900,000**	3,900,000
Institute of Qaraqol	**3,775,000**	3,775,000
Carpet corporation	**3,775,000**	3,775,000
	3,820,257,000	3,820,257,000

15 SURPLUS ON REVALUATION OF PROPERTY AND EQUIPMENT- NET

Opening balance	**832,753,066**	847,146,946
Incremental depreciation - net of deferred tax	**(14,393,880)**	(14,393,880)
Adjustment of deferred tax liability relating to surplus on revaluation	**(49,669,620)**	-
Closing balance	**768,689,566**	832,753,066

16 DEPOSITS FROM BANKS AND OTHER FINANCIAL INSTITUTIONS

Current deposits:		
Bank-e-Millie Afghan	**40,274,303**	40,294,119
Maiwand Bank	**80,750**	80,750
Afghan United Bank	**901,409**	931,909
Azizi Bank	**75,924**	81,228
New Kabul Bank	**13,521**	14,466
Ghazanfar Bank	**19,348**	20,699
	41,365,256	41,423,171

17 DEPOSITS FROM CUSTOMERS

Fixed deposit	17.1	**661,294**	707,376
Current deposits		**22,381,230,697**	23,008,826,920
Cash margin against bank guarantees		**1,462,098,793**	1,455,073,869
		23,843,990,784	24,464,608,165

17.1 This includes fixed deposit of USD 9,953, equivalent to AFN 661 thousands from the Ministry of Commerce which carry no profit.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
18 DEFERRED GRANT		---------- AFN ----------	
Opening balance		**27,189,580**	32,991,237
Amortization			
Intangible assets		**(5,833,979)**	(5,801,657)
		(5,833,979)	(5,801,657)
	18.1	**21,355,601**	27,189,580

18.1 This represents the non-monetary grant received from the World Bank for IT infrastructure development to modernize Afghan State-Owned Banks.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
19 OTHER LIABILITIES		---------- AFN ----------	
Employees pension fund	19.1	**83,311,505**	108,122,717
Accrued expenses		**7,820,800**	10,456,020
Withholding tax payable		**1,681,056**	1,966,643
Deferred profit on Murahaba financing		**12,217,039**	-
Payable to Western Union		-	3,111,714
Security deposit payable		**27,065,002**	26,246,182
Dormant accounts		**40,868,371**	109,390,945
Lease liability	19.2	**7,991,503**	20,730,032
Other payables		**23,609,044**	11,058,436
		204,564,320	291,082,689

19.1 Government of Afghanistan, with the special decree vide 4802 dated 21/09/1445 has halted the charge and payment of the pension. Subsequently based on the decree vide 4802 date 21/09/1445 all those who want to receive their pension right should go through the special court to be established for the same reason.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
19.2 Movement finance lease liability		---------- AFN ----------	
Opening balance		**20,730,032**	12,711,369
Additions during the year		-	26,434,058
Lease modifications		**668,323**	-
Advance lease payments		-	(9,479,599)
Finance charge		**498,385**	911,606
Payment against lease liability		**(9,565,207)**	(9,847,402)
Closing balance		**12,331,533**	20,730,032

		Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
20	**CONTINGENCIES AND COMMITMENTS**		---------- AFN ----------	
	Bank guarantees issued	20.1	**1,462,098,793**	1,455,073,869

20.1 Bank guarantees issued by the Bank are backed up by 100% cash margin.

20.2 There are no commitments at the year end (2024:Nil).

		Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
21	**NET PROFIT EARNED**		---------- AFN ----------	
	Profit earned calculated using the effective yield method			
	Cash and cash equivalents		**107,647,650**	122,389,839
	Financings		**402,995**	334,988
			108,050,645	122,724,827
	Cost of Funds		-	-
	Net financing income		**108,050,645**	122,724,827
22	**NET SERVICE FEE AND COMMISSION INCOME**			
	Service fee and commission income			
	Service fee		**53,687,483**	43,200,427
	Commission		**137,705,891**	132,926,363
			191,393,374	176,126,790
	Service fee and commission expense			
	Fund transfer charges		**(347,890)**	(210,601)
	Account maintenance charges		**(145,565)**	(774,491)
			(493,455)	(985,092)
	Net service fee and commission income		**190,899,919**	175,141,698
23	**OTHER INCOME**			
	Recovery of finances written-off:			
	Financing principal		**248,213,563**	9,983,155
	Financing profit		-	192,911
			248,213,563	10,176,066
	Ijara income		**73,797,597**	61,716,874
	ADIC insurance reimbursement	23.1	**441,726,632**	-
	Income from investments		**41,205**	35,110
	Other income		**5,021,311**	20,931,098
			768,800,308	92,859,148

23.1 The bank has recorded an income from the reimbursement of ADIC insurance premiums, which were paid by the bank to ADIC/DAB from October 2009 to 31 December 2024. This is in accordance with Sharia Ruling No. 1151, dated 27 May 2024, issued by the Dar-ul-Eftah of the Islamic Emirate of Afghanistan.

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
		---------- AFN ----------	
24 EMPLOYEE COMPENSATION			
Salaries, wages and benefits		**182,396,502**	156,789,611
Bonus		**-**	3,488,000
Staff welfare		**1,770,042**	1,973,174
		184,166,544	162,250,785
25 OTHER OPERATING EXPENSES			
Repair and maintenance		**10,309,003**	6,868,699
IT Support and maintenance		**18,127,935**	-
Travel and conveyance		**1,920,082**	644,278
Advertisement and publicity		**2,338,186**	2,043,424
Building tax		**76,582**	76,582
Deposit insurance		**-**	6,897,819
Internet expense		**8,296,655**	6,381,167
Security expense		**31,927,875**	27,567,227
Printing and stationery		**7,057,662**	7,027,479
Communication		**667,137**	568,126
Electricity		**11,862,178**	11,687,090
Fuel expenses		**4,995,213**	3,876,363
Auditor's remuneration		**2,355,151**	1,221,305
Cleaning and water		**661,096**	516,082
Kindergarten expenses		**150,650**	170,194
Employees training expenses		**920,636**	1,230,516
Others		**31,207,479**	28,627,658
		132,873,520	105,404,009
26 TAXATION			
Current	26.1	**-**	-
Deferred		**(41,356,262)**	(3,598,470)
		(41,356,262)	(3,598,470)

26.1 Due to carried forward tax losses, provision for current tax has not been recorded.

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27 RELATED PARTIES

The related parties of the Bank comprise entities with common shareholders, directors and key management personnel and close family members of such individuals. Following are the related parties of the Bank:

Key management personnel

Chief Executive Officer
Chief Financial Officer
Chief Operating Officer
Chief Credit Officer
Chief Information Officer

Transactions and balances with related parties , including remuneration and benefits paid to key management personnel under the terms of their employment are as follows:

	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)	**30 Qaws 1404 (Dec 21, 2025)**	29 Qaws 1403 (Dec 19, 2024)
	---------- AFN ----------			
	Balances		**Transactions**	
Transactions with:				
Board of supervisors and management personnel				
Short-term benefits	**16,542,000**	12,742,000	-	-

In addition to their salaries and allowances, the Bank also provides non-cash benefits to executive officers that contribute to a post employment defined plan on their behalf. The terms of the plan are same as for all employees.

28 FINANCIAL ASSETS AND LIABILITIES

Accounting classifications and fair values

The table below sets out the carrying amounts and fair values of the Bank's financial assets and financial liabilities:

	Note	Held to maturity	Financings and receivables	Available for sale	Other amortized cost	Total carrying value
30 Qaws 1404 (Dec 21, 2025)		---------- AFN ----------				
Cash and cash equivalents		-	-	-	**17,929,668,032**	**17,929,668,032**
Investments and placements		**3,920,076,086**	-	**105,752,502**	-	**4,025,828,588**
Financing to customers - net		-	**68,358,772**	-	-	**68,358,772**
Other assets		-	-	-	**2,245,843,956**	**2,245,843,956**
		3,920,076,086	**68,358,772**	**105,752,502**	**20,175,511,988**	**24,269,699,348**
Deposits from banks and financial institutions		-	-	-	**41,365,256**	**41,365,256**
Deposits from customers		-	-	-	**23,843,990,784**	**23,843,990,784**
Other liabilities		-	-	-	**204,564,320**	**204,564,320**
		-	-	-	**24,089,920,360**	**24,089,920,360**
29 Qaws 1403 (Dec 19, 2024)						
Cash and cash equivalents		-	-	-	18,345,295,523	18,345,295,523
Investments and placements		3,647,519,625	-	105,752,502	-	3,753,272,127
Financing to customers - net		-	3,225,584	-	-	3,225,584
Other assets		-	-	-	2,684,739,141	2,684,739,141
		3,647,519,625	3,225,584	105,752,502	21,030,034,664	24,786,532,375
Deposits from banks and financial institutions		-	-	-	41,423,171	41,423,171
Deposits from customers		-	-	-	24,464,608,165	24,464,608,165
Other liabilities		-	-	-	291,082,689	291,082,689
		-	-	-	24,797,114,025	24,797,114,025

28.1 The fair values of financial assets and financial liabilities approximates their carrying amounts at the reporting date.

29 FINANCIAL RISK MANAGEMENT

29.1 Introduction and overview

The Bank has exposure to the following risks from its use of financial instruments:

a) Credit risk
b) Liquidity risk
c) Market risk

This note presents information about Bank's exposure to each of the above risks, the Bank's objectives, policies and processes for measuring and managing risk, and the Bank's management of capital.

Risk management framework

The Board of Supervisor has overall responsibility for the establishment and oversight of the Bank's risk management framework. The Board has established the Asset and Liability Committee (ALCO) and Credit Committee which are responsible for developing and monitoring Bank's risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Supervisors on their activities.

29.2 Credit risk

Credit risk is the risk of financial loss to the Bank if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Bank's placements with other banks and guarantees issued by the Bank. For risk management reporting purposes, the Bank considers and consolidates all elements of credit risk exposure.

Management of credit risk

The Board has delegated responsibility for the management of credit risk to its Bank's Credit Department. Credit Department reporting to the Bank Credit Committee is responsible for oversight of the Bank's credit risk.

A separate credit department has been established by the Bank that is responsible for oversight of the Bank's credit risk and which is reportable to the Board of Supervisors and Management. The Credit department is headed by Chief Credit Officer (CCO). Credit Officer along with credit department staff looks after credit risk matters and conduct portfolio analysis for managing credit risk.

The Bank has established and maintained a sound financing portfolio in terms of well-defined credit policy approved by the Board. The credit evaluation system comprises of well designed credit appraisal, sanctioning and review procedures for the purposes of emphasizing prudence in financing activities and ensuring the high quality of asset portfolio.

Note 29.2 (continued)

The amount of credit risk in this regard is represented by the carrying amounts of the assets on the balance sheet date. The Bank has major concentration of credit risk in trading sector. Exposure to credit risk is managed through regular analysis of borrower to meet profit and capital repayment obligations and by changing their financing limits where appropriate. Exposure to credit risk is also managed against personal guarantee of the borrower and mortgage of immoveable property duly registered with the court of law and hypothecation over stock dully verified by the Bank's Credit Officer on monthly basis.

Past due but not impaired financings

Past due but not impaired financings are those for which contractual profit or principal payments are past due but the Bank believes impairment is not appropriate.

Allowances for impairment

The Bank establishes an allowance for impairment losses on assets carried at amortized cost that represents its estimate of incurred losses in its financing portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective financing loss allowance established for the groups of homogeneous assets in respect of losses that have been incurred but have not been identified on loans that are considered individually insignificant as well as individually significant exposures that were subject to individual assessment for impairment but not found to be individually impaired.

Write-off Policy

The Bank write off a financing balance against allowances for impairment losses when the Bank's Credit Department determines that the loan are uncollectible. This determination is reached after considering information such as the occurrence of significant changes in the borrowers financial position such that the borrower can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure. For smaller standardized loans, charge off decisions generally are based on a product specific past due status. Financings past due by more than 480 days are 100% provisioned and would be kept on books of account for additional 6 months after 480 days and then after expiry of 6 months loans would be written off pursuant to guidelines issued by the Central Bank of Afghanistan, however, this does not waive off the right of the Bank to recover these loans including through legal action.

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Note 29.2 (continued)

Exposure to liquidity risk

	Note	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
Credit risk relating to on-balance sheet		---------- AFN ----------	
Balances with other banks		**692,154,077**	549,748,460
Placements		**3,920,076,086**	3,647,519,625
Investments		**105,752,502**	105,752,502
Financing to customers		**68,358,772**	3,225,584
Other assets		**144,356,182**	131,819,651
		4,930,697,619	4,438,065,822
Credit risk relating to off-balance sheet			
Bank guarantees issued		**1,462,098,793**	1,455,073,869

The above table represents credit risk exposure to the Bank at December 21, 2025 and December 19, 2024, without taking account of any collateral held or other enhancements attached. For on-balance sheet assets the exposure set out above is based on net carrying amounts as reported in the statement of financial position.

Bank guarantees issued by the Bank are backed up by 100% cash margin.

Exposure of the Bank do not include balances and investments Da Afghanistan Bank (DAB) being the regulator.

The percentage of the maximum credit exposure in balances with other banks, placements, investments, financings to sustomers are as follows:

	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
Balances with other banks	**14.04%**	12.39%
Placements	**79.50%**	82.19%
Investments	**2.14%**	2.38%
Financing to customers	**1.39%**	0.07%
Other assets	**2.93%**	2.97%

Note 29.2 (continued)

The Bank monitors concentrations of credit risk by sector. An analysis of concentrations of credit risk of financings to customers at reporting date is as follows:

	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
Gross financings	**68,358,772**	3,225,584
Concentration by sector		
- Government employees	**68,358,772**	3,225,584

29.3 Liquidity risk

Liquidity risk is the risk that the Bank will encounter difficulty in meeting obligations from its financial liabilities that are settled by delivering cash or another financial asset.

Management of liquidity risk

The Board ensures that the Bank has necessary tools and framework to cater the requirements of liquidity risk management and the Bank is capable to confronting uneven liquidity scenarios. The Bank's management is responsible for the implementation of sound policies and procedures keeping in view the strategic direction and risk appetite specified by the Board. Asset & Liability Committee (ALCO) is entrusted with the responsibility of managing the mismatch in maturities to ensure sufficient available cash flow to meet possible withdrawal of deposits, other commitment or challenges associated with sudden changes in market conditions, which enables the Bank to pursue valued business opportunities.

The Bank relies on deposits from customers as its primary source of funding. Deposits form customers generally has shorter maturities and large proportion of them are repayable on demand. For day to day liquidity risk management integration of liquidity scenario will ensure that the Bank is best prepared to respond to an unexpected problem.

Exposure to liquidity risk

The key measure used by the Bank for managing liquidity risk is the ratio of net liquidity assets to deposits from customers. For this purpose net liquid assets are considered as including cash and cash equivalent less any deposits from banks. A similar, but not identical, calculation is used to measure the Bank's compliance with the liquidity limit established by the Bank's Regulator (Da Afghanistan Bank). Detail of the reported Bank ratio of net liquid assets to deposits from customers at the reporting date and during the reporting period was as follows:

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Note 29.3 (Continued)

	30 Qaws 1404 (Dec 21, 2025)	29 Qaws 1403 (Dec 19, 2024)
At year end	94.49%	92.58%
Average for the year	94.28%	92.01%
Maximum for the year	96.41%	92.58%
Minimum for the year	92.71%	91.53%

Maturity analysis for financial liabilities

	Note	Carrying amount	Gross inflow/ (outflow)	Less than 1 month	1-3 months	3 months to 1 year
				AFN		
30 Qaws 1404 (Dec 21, 2025)						
Deposits from banks and financial institutions	14	**41,365,256**	**(41,365,256)**	**(41,365,256)**	-	-
Deposits from customers	15	**23,843,990,784**	**(23,843,990,784)**	**(23,843,990,784)**	-	-
Other liabilities	17	**21,355,601**	**(21,355,601)**	**(21,355,601)**	-	-
		23,906,711,641	**(23,906,711,641)**	**(23,906,711,641)**	-	-
29 Qaws 1403 (Dec 19, 2024)						
Deposits from banks and financial institutions	14	41,423,171	(41,423,171)	(41,423,171)	-	-
Deposits from customers	15	24,464,608,165	(24,464,608,165)	(24,464,608,165)	-	-
Other liabilities	17	27,189,580	(27,189,580)	(27,189,580)	-	-
		24,533,220,916	(24,533,220,916)	(24,533,220,916)	-	-

The above table shows the undiscounted cash flows on the Bank's financial liabilities on the basis of their earliest possible contractual maturity. The gross nominal inflow/ (out flow) disclosed in the above table is the contractual, undiscounted cash flow on the financial liability.

29.4 Market risks

Market risk is the risk that changes in market prices, such as profit rate, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's/ issuer's credit standing) will affect the Bank's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures with in acceptable parameters, while optimizing the return on risk.

Note 29.4 (continued)

Management of market risks

To manage and control market risk a well defined limits structure is in place. These limits are reviewed, adjusted and approved periodically. Overall authority for market risk is vested in ALCO. The Bank's Assets and Liability Committee (ALCO) is responsible for the development of detailed risk management policies and day to day review of their implementation.

Exposure to profit rate risk

The Bank risk to which non-trading portfolios are exposed is the risk of loss from fluctuations in the future flows or fair values of financial instrument because of change in market profit rates. Profit rate risk managed principally through monitoring profit rate gaps and by having pre-approved limits for reprising bands. ALCO is the monitoring body for compliance with these limits and is assisted by Risk Management in its day to day monitoring activities. A summary of the Bank's profit rate gap position on non-trading portfolio is as follows:

	Note	Carrying amount	Less than one month	Less than 3 months	6-12 months	1-5 years
				AFN		
30 Qaws 1404 (Dec 21, 2025)						
Cash and cash equivalents	5	-	-	-	-	-
Investments and placements	8	**3,920,076,086**	-	-	**3,920,076,086**	-
		3,920,076,086	-	-	**3,920,076,086**	-
Deposits from banks and financial institutions	17	-	-	-	-	-
Deposits from customers	18	**661,294**	**661,294**	-	-	-
		661,294	**661,294**	-	-	-
Gap		**3,919,414,792**	**(661,294)**	-	**3,920,076,086**	-

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Note 29.4 (continued)

29 Qaws 1403 (Dec 19, 2024)						
Cash and cash equivalents	5	-	-	-	-	-
Investments and Placements	8	3,647,519,625	-	-	3,647,519,625	-
		3,647,519,625	-	-	3,647,519,625	-
Deposits from banks and financial institutions	17	-	-	-	-	-
Deposits from customers	18	4,579,023,562	4,579,023,562	-	-	-
		4,579,023,562	4,579,023,562	-	-	-
Gap		(931,503,937)	(4,579,023,562)	-	3,647,519,625	-

Exposure to currency risk

The Bank's exposure to foreign currency risk was as follows based on notional amounts.

	USD	Euro	Others
30 Qaws 1404 (Dec 21, 2025)	---------- AFN ----------		
Cash and cash equivalents	**1,650,016,246**	**28,352,571**	**482,928,414**
Investment and placements	**3,487,287,650**	**36,190,000**	**-**
Other assets	**694,875,562**	**6,825,476**	**-**
	5,832,179,458	**71,368,048**	**482,928,414**
Deposits from banks and other financial institutions	**695,265**	**78,756**	**-**
Deposits from customers	**5,783,017,393**	**70,990,478**	**481,628,734**
Other liabilities	**24,208,821**	**99,961**	**6**
	5,807,921,478	**71,169,195**	**481,628,740**
Net foreign currency exposure	**24,257,980**	**198,853**	**1,299,674**

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Note 29.4 (continued)

29 Qaws 1403 (Dec 19, 2024)			
Cash and cash equivalents	1,586,381,107	151,020,797	422,586,072
Investment and placements	3,614,386,125	33,133,500	-
Other assets	735,248,334	22,209,422	-
	5,936,015,566	206,363,719	422,586,072
Deposits from banks and other financial institutions	744,542	84,144	-
Deposits from customers	5,840,270,736	203,012,626	417,393,492
Other liabilities	68,488,036	1,994,688	4,431,038
	5,909,503,314	205,091,458	421,824,530
Net foreign currency exposure	26,512,252	1,272,261	761,542

The following significant exchange rates were applied during the periods.

	30 Qaws 1404 (Dec 21, 2025)		29 Qaws 1403 (Dec 19, 2024)	
	Average rate	**Reporting date spot rate**	Average rate	Reporting date spot rate
US$	69.68	66.28	71.38	70.91
Euro	77.35	77.00	73.63	76.18

Sensitivity analysis

A 10% strengthening of the Afghani, as indicated below, against the USD, and 10% strengthening euro at December 21, 2025 would have increased/ (decreased) equity and profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Bank considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular profit rates, remain constant.

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Note 29.4 (continued)

	30 Qaws 1404 (Dec 21, 2025)		29 Qaws 1403 (Dec 19, 2024)	
	Equity	Profit or loss	Equity	Profit or loss
	---------- AFN ----------			
US$	**1,940,638**	**2,425,798**	2,120,980	2,651,225
Euro	**15,908**	**19,885**	101,781	127,226

A 10 % weakening of the Afghani against the above currencies at December 21, 2025 would have had the equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

30 Capital management

The Bank's objective when managing capital, which is broader concept than the equity on the face of balance sheets are:

(i) To comply with the capital requirement set by the DAB
(ii) To safeguard the Bank's ability to continue as going concern so that it can continue to be self sustainable; and
(iii) To maintain strong capital base to support the development of its business.

The Bank regulatory capital position as at December 19, 2024 is as follows:

	Note	31 Qaws 1404 (Dec 21,2025)	29 Qaws 1403 (Dec 19, 2024)
		---------- AFN ----------	
Core (Tier 1) Capital:			
Total shareholder's equity		**4,002,785,016**	3,386,330,058
Less:			
Profit for the year		**(662,526,108)**	(166,986,739)
Deferred tax assets - Net		**(26,896,827)**	(60,530,585)
Intangible assets		**(35,848,457)**	(34,384,117)
Surplus on revaluation of fixed assets		**(768,689,566)**	(832,753,066)
		2,508,824,058	2,291,675,551
Supplementary (Tier 2) Capital:			
Profit for the year		**662,526,108**	166,986,739
Surplus on revaluation of fixed assets		**768,689,566**	832,753,066
		1,431,215,674	999,739,805
Total regulatory capital		**3,940,039,732**	3,291,415,356

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Note 30 (continued)

	Note	31 Qaws 1404 (Dec 21,2025)	29 Qaws 1403 (Dec 19, 2024)
Risk-weight categories			
0% risk weight:			
Cash in Afghani and fully-convertible foreign currencies		**1,690,246,020**	1,809,339,014
Direct claims on DAB		**17,648,134,835**	18,029,188,036
Total		**19,338,380,855**	19,838,527,050
0% risk-weight total (above total x 0%)		**-**	-
20% risk weight:			
Balances with other banks		**4,612,230,163**	4,197,268,085
20% risk-weight total (above total x 20%)		**922,446,033**	839,453,617
100% risk weight:			
All other assets		**4,205,562,735**	4,194,159,075
Intangible assets		**(35,848,457)**	(34,384,117)
Net deferred tax asset		**(26,896,827)**	(60,530,585)
100% risk-weight total (above total x 100%)		**4,142,817,451**	4,099,244,373
0% risk weight:			
Guarantees		**1,462,098,793**	1,455,073,869
0% credit conversion factor total (risk-weighted total x 0%)		**-**	-
Total risk-weighted assets		**5,065,263,484**	4,938,697,990
Tier 1 Capital Ratio (Tier 1 capital as % of total risk-weighted assets)		**49.53%**	46.40%
Regulatory Capital Ratio (Regulatory capital as % of total risk-weighted assets)		**77.79%**	66.65%

31 CORRESPONDING FIGURES

31.1 Corresponding figures have been reclassified / re-arranged wherever necessary to facilitate comparison in the presentation in the current year.

31.2 The figures in these financial statements have been rounded off to the nearest in AFN.

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Chairman **Chief Executive Officer** **Chief Financial Officer**